2021 P T D 1016

[Lahore High Court]

Before Jawad Hassan, J

Messrs Syed JAMIL & COMPANY (PRIVATE) LIMITED through Chief Executive Officer

Versus

PAKISTAN RAILWAYS through Chief Commercial Manager, Lahore and 2 others

Writ Petition No.29306 of 2021, decided on 5th May, 2021.

Income Tax Ordinance (XLIX of 2001)----

----Ss.236A, 127 & 170---Constitution of Pakistan, Art.199---Constitutional petition---Advance tax at time of sale by auction---Bank guarantee deposited in lieu of advance tax---Ripeness doctrine of ripeness---Applicability---Scope---Adjudication of appeal under S.127 of Income Tax Ordinance, 2001---Scope---Petitioner / taxpayer sought to restrain Department from encashing Bank guarantees deposited by taxpayer in lieu of advance tax under S.236A of Income Tax Ordinance, 2001---Contention of taxpayer, inter alia, was that taxpayer had already filed an appeal under S.127 of Income Tax Ordinance, 2001 along with application to restrain such encashment, which was pending; and per Doctrine of Ripeness, till the matter was settled before tax authorities, no such recovery / encashment could be made----Validity---Petitioner, in the present case, was to be granted temporary relief and High Court directed Department to decide appeal of petitioner within a period of one month, and till decision of said appeal, directed that no coercive measures for recovery of tax liability could be taken against taxpayer / petitioner---Constitutional petition was disposed of, accordingly.

Reliance Commodities (Private) Ltd. v. Federation of Pakistan and others PLD 2020 Lah. 632; Messrs Pak Saudi Fertilizers Ltd. v. Federation of Pakistan and others 2002 PTD 679; Z.N. Exports (Pvt.) Ltd. v. Collector Sales Tax and others 2003 PTD 1746; Messrs Pearl Continental Hotel, Lahore through Director Finance and another v. Customs, Excise and Sales Tax Appellate Tribunal, Lahore and another 2005 PTD 1368; Sun-Rise Bottling Company (Pvt.) Limited v. Federation of Pakistan and 4 others 2006 PTD 535; Karachi Shipyard and Engineering Works Limited Karachi v. Additional Collector Customs Excise and Sales Tax (Adjudication-III), Government of Pakistan, Karachi and 2 others 2006 PTD 2207; Pak Suzuki Motors Co. Ltd. through Senior General Manager (Corporate Planning and Logistics), Karachi v. Collector of Customs through Assistant Collector (Processing), Karachi 2006 PTD 2237; Mari Petroleum Company Ltd. v. Appellate Tribunal Inland Revenue and others 2014 PTD 2406 and Shell Pakistan Limited v. Government of Punjab and others 2020 PTD 1607 rel.

Waheed Shahzad Butt for Petitioner.

Zahid Sikandar, Assistant Attorney General (on Court's call) for Respondent.

ORDER

JAWAD HASSAN, J.----The Petitioner has filed this writ petition under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 (the "Constitution") with multiple prayers, one of which is to restrain the Respondents Nos.1 and 2 from encashing the bank guarantees already deposited by him in lieu of advance income tax under Section 236A of the Income Tax Ordinance, 2001 (the "Ordinance").

2. Learned counsel for the Petitioner submits that against order dated 26.04.2021 (the "Impugned Order") passed by the Assistant Commissioner Inland Revenue under Section 170(4) of the Ordinance, the Petitioner preferred an appeal under Section 127 of the Ordinance along with a stay application before the Respondent No.3, which is still pending but the Respondents are trying to encash the bank guarantees submitted by the Petitioner in lieu of advance income tax under the garb of the Impugned Order. He further submits that as per the principle of inbuilt stay mechanism, no recovery can be made from the Petitioner because under the Doctrine of Ripeness, the matter before the Tax Authorities has not been ripened. He explains that entire machinery and procedure is provided for adjudication of disputes before the appellate forum and the Petitioner can only approach the High Court in Tax Reference.

3. Moreover, it is settled law that unless the matter is decided by at least one independent forum outside the revenue hierarchy, the recovery of disputed amount cannot be made. He pleads that if any recovery under the garb of the aforesaid assessment order/recovery notice is made, it will offend the provisions of Article 18 of the Constitution, which clearly states that subject to such qualifications, if any, as may be prescribed by law, every citizen shall have the right to enter upon any lawful profession or occupation, and to conduct any lawful trade or business. He further clarifies that the provisions of Article 4 of the Constitution represent the concept of equality before law and equal protection of law and save every citizen of Pakistan from arbitrary/discriminatory actions by the Governmental authorities while Article 5(2) of the Constitution embodies that everybody is bound to obey the command of the Constitution.

4. The next contention of learned counsel is that Article 10-A of the Constitution provides right of fair trial and due process for determination of rights and obligations therefore, during the pendency of the appeal, if any action is taken under the garb of assessment order, the Petitioner will suffer an irreparable loss and injury. In support of his submissions, learned counsel has placed reliance on the recent judgment of this Court passed in the case of Reliance Commodities (Private) Ltd. v. Federation of Pakistan and others (PLD 2020 Lahore 632). Further reliance is placed on the cases reported as Messrs Pak Saudi Fertilizers Ltd. v. Federation of Pakistan and others (2002 PTD 679), Z.N. Exports (Pvt.) Ltd. v. Collector Sales Tax and others (2003 PTD 1746), Messrs Pearl Continental Hotel, Lahore through Director Finance and another v. Customs, Excise and Sales Tax Appellate

Tribunal, Lahore and another (2005 PTD 1368), Sun-Rise Bottling Company (Pvt.) Limited v. Federation of Pakistan and 4 others (2006 PTD 535), Karachi Shipyard and Engineering Works Limited Karachi v. Additional Collector Customs Excise and Sales Tax (Adjudication-III), Government of Pakistan, Karachi and 2 others (2006 PTD 2207), Pak Suzuki Motors Co. Ltd. through Senior General Manager (Corporate Planning and Logistics), Karachi v. Collector of Customs through Assistant Collector (Processing), Karachi (2006 PTD 2237) and Mari Petroleum Company Ltd. v. Appellate Tribunal Inland Revenue and others (2014 PTD 2406) wherein direction was issued to the authorities to decide the appeal and temporary relief was granted as stopgap measures. He, lastly, submits that on similar issue this Court has recently passed a detailed judgment on 27th of August, 2020 in the case of Shell Pakistan Limited v. Government of Punjab and others (2020 PTD 1607). He explains that in Paragraph 13 of the said judgment this Court, while highlighting the scope of statutory right of appeal and inbuilt stay mechanism, has observed as under:-

> "The Doctrine of Statutory Rights of Appeal arises out of Articles 199(1) and 199(4) of the Constitution where the High Court, if it is satisfied that no other adequate remedy is provided by law, issues writ of mandamus and prohibition keeping in view Article 199(4) of the Constitution 'and the time frame given therein but this right is subject to notice to the prescribed law officer with an opportunity of being heard and for reasons to be recorded in writing. Article 199 elaborates that in tax matters, after hearing the law officer, if the Court is satisfied, it may make an order for interim relief after recording reasons. Inbuilt interim stay under the statutory appeals are provided in all general laws especially in tax matters therefore, by examining the provisions of the Act read with Punjab Sales Tax on Services (Adjudication and Appeals) Rules, 2012 (the "Rules") it is evident that Section 64 of the Act provides procedure for the appeals to the Commissioner (Appeals) with inbuilt stay by stating that the Commissioner (Appeals) may stay the matter after hearing the parties and can also confirm the same which remains operative upto 60 days. Moreover, the same provision also provides to the tax payer that by filing appeal to the Appellate Tribunal under Section 66 of the Act and under Section 67(2)(3) of the Act, the Appellate Tribunal can also pass the interim order and then confirm the stay which may remain operative for ninety (90) days period. Thereafter, the taxpayer has a right to file reference to the High Court under Section 67A of the Act before the Division Bench which only hears the matters on the question of law. In this case the prayer of the Petitioner is to direct the Respondents to decide the appeal within prescribed period and under Section 64(2) in which the Commissioner (Appeals) may adjourn the hearing of the appeal from time to time and has to dispose off the appeal within a period of 60 days which is time bound provision requiring the Appellate Tribunal to decide a within a given time frame as prescribed by law. The same mechanism also gives a time frame to the Appellate Tribunal to decide the appeal within sit months under Section 67(2) of the Act. Above said provisions clarify that the law has itself provided a time bound mechanism for expeditious disposal with inbuilt statutory right of appeal with inbuilt stay mechanism provided under the Statute in which both the Commissioner (Appeals) and the Tribunal have inbuilt mechanism of passing interim orders and then confirming it within a period of sixty days."

5. After hearing learned counsel for the parties and in view of the law laid down in

aforesaid judgments, I am inclined to grant, as a stop gap measure, temporary relief to the Petitioner by directing Respondent No.3 to decide appeal of the Petitioner within a period of one month in accordance with law from the receipt of certified copy of this order. However, till decision of appeal, no coercive measures for recovery of disputed tax liability shall be taken against the Petitioner by the Respondents.

Disposed of.

KMZ/J-8/L Order accordingly.